



ESBM 3700 ENTREPRENEURIAL ENVIRONMENTS

LECTURE 14

INTELLECTUAL PROPERTY STRATEGY



University of Colorado **Boulder**

Our path

Module 1

Entrepreneurial Mindset

Ideas to Opportunities

Business Models

Sources of Funding

Lean Startup

Lean Startup Exercise

Venture Pitching

Module 2

Choosing Your Customer

Choosing Your Technology

Choosing Your Identity

Choosing Your Competition

Quiz

Module 3

Disruption Strategy

Intellectual Property Strategy

Value Chain Strategy

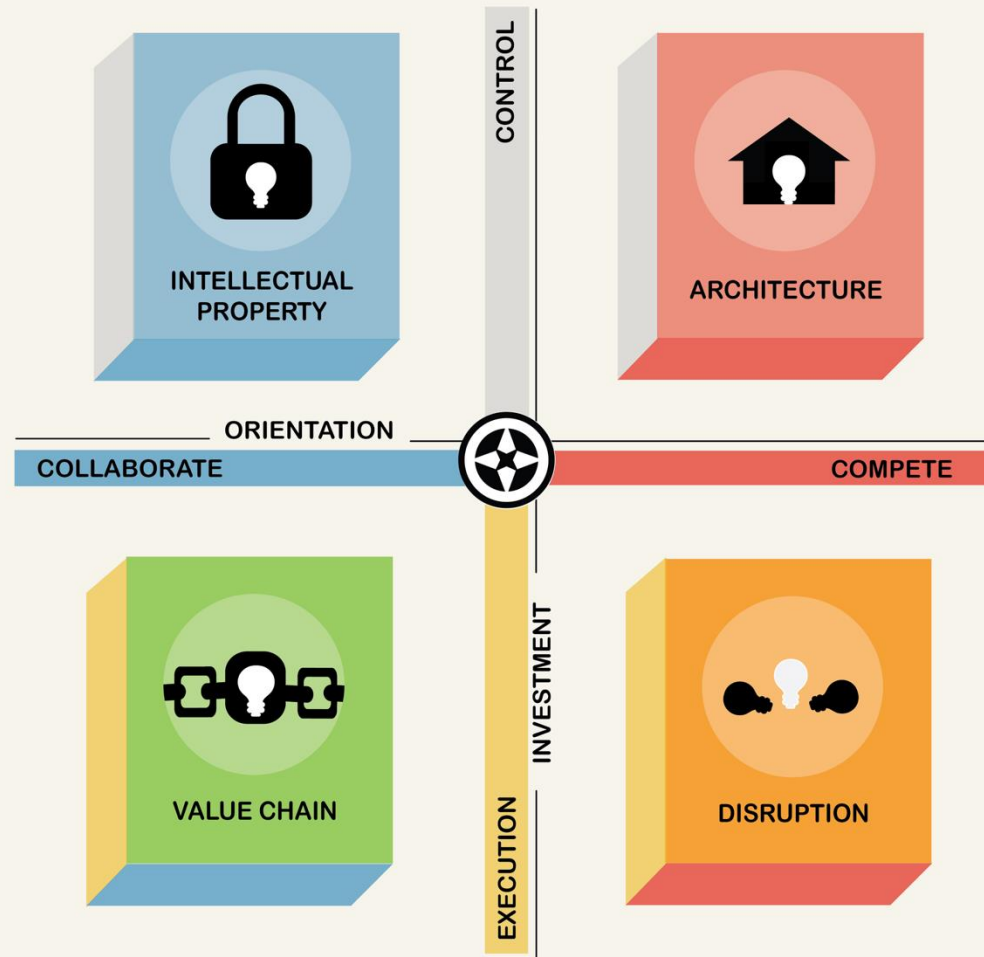
Architectural Strategy

Bonus: Startup Failure

Bonus: Shark Tank

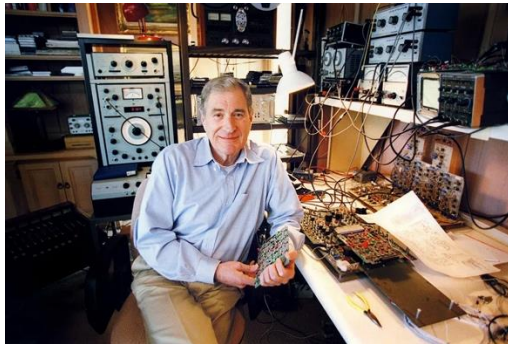
Final Exam

CHOOSING YOUR ENTREPRENEURIAL STRATEGY



Intellectual Property Strategy

- As an entrepreneur, you **DO NOT** need to commercialize your idea on your own. Instead, you can collaborate with partners who can drive the commercialization process for you.



- A successful collaboration usually requires a **strong protection** of your technology.

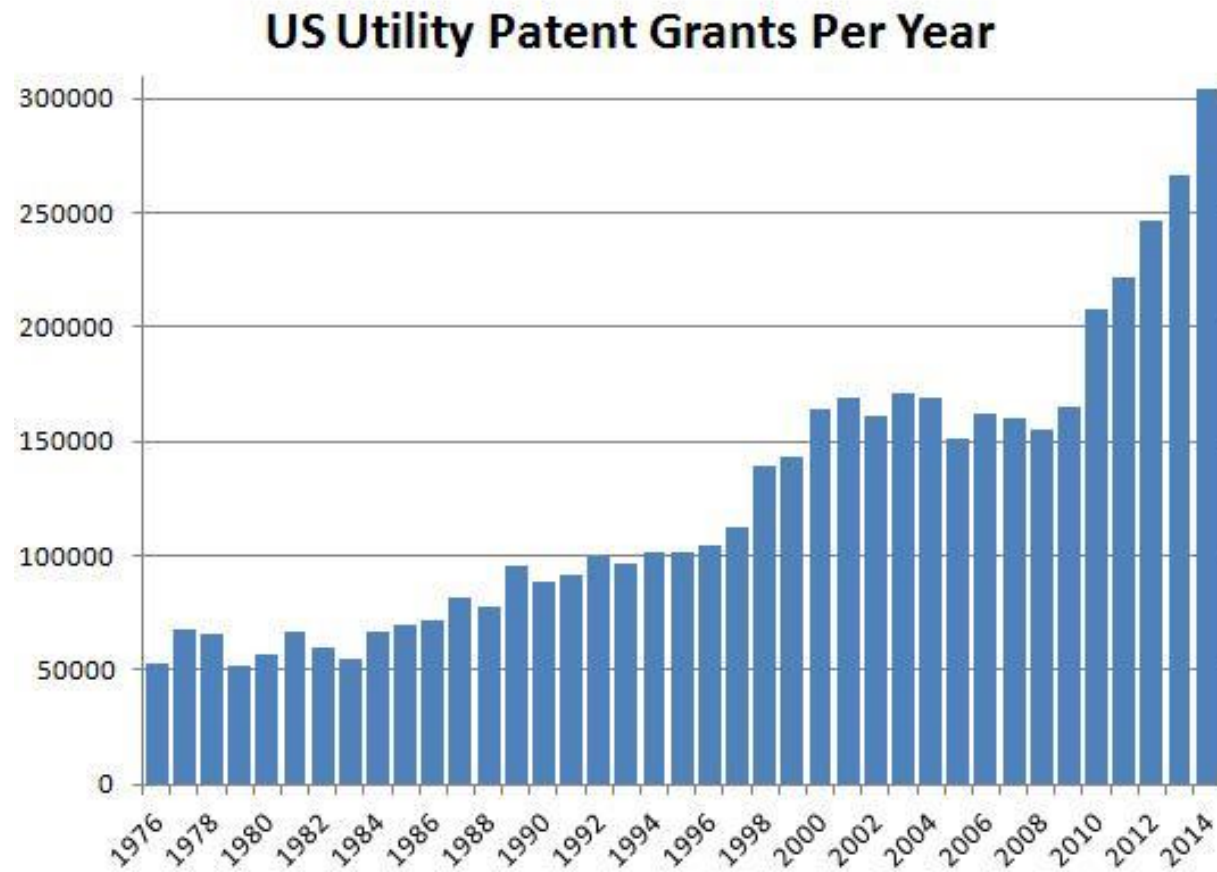
Intellectual property strategy tools

- **Formal intellectual property**
 - Patents
 - Copyright
 - Trademarks
- **Technology and product design**
- **Contracts**
 - Trade secrecy
 - Non-compete agreements
 - etc.

Patents: A quick primer

- Quid pro quo: exclusive rights to prevent others from making, using, or selling the invention in exchange for publicly disclosing its details.
 - 20-year patent term from the date of filing
 - **Traditional justification:** incentives for innovation
- Standard for patentability
 - Three Criteria
 - Non-obviousness (to someone schooled in the art)
 - Novelty (beyond what has already been invented)
 - Utility (a potentially useful description)
 - Specialized examiners at the US Patent and Trademark Office (USPTO) have much discretion (and no explicit penalties for mistakes)
 - “There are as many patent offices as there are patent examiners”
 - Court of Appeals for Federal Circuit (CAFC) hears all patent appeals, and is perceived to be both (a) consistent and (b) somewhat pro-inventor
 - CAFC tends to reverse grants associated with “over-generous” examiners

Dramatic rise in patenting over time...



Dramatic rise in licensing and related income over time...

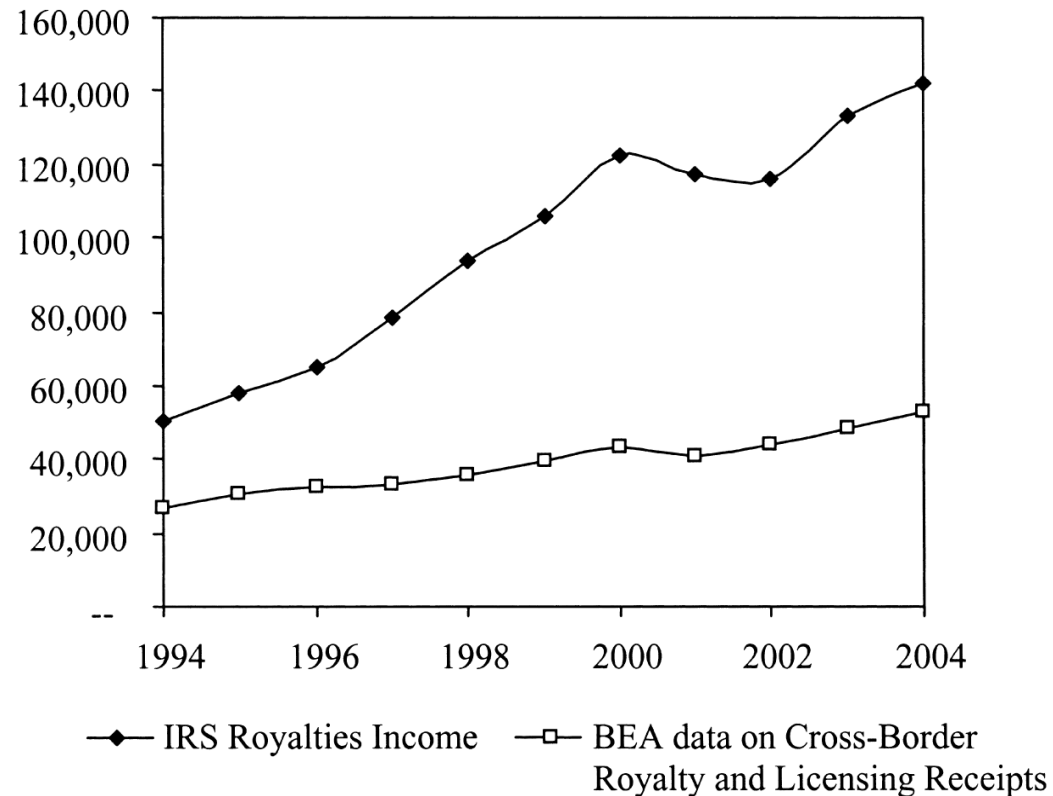
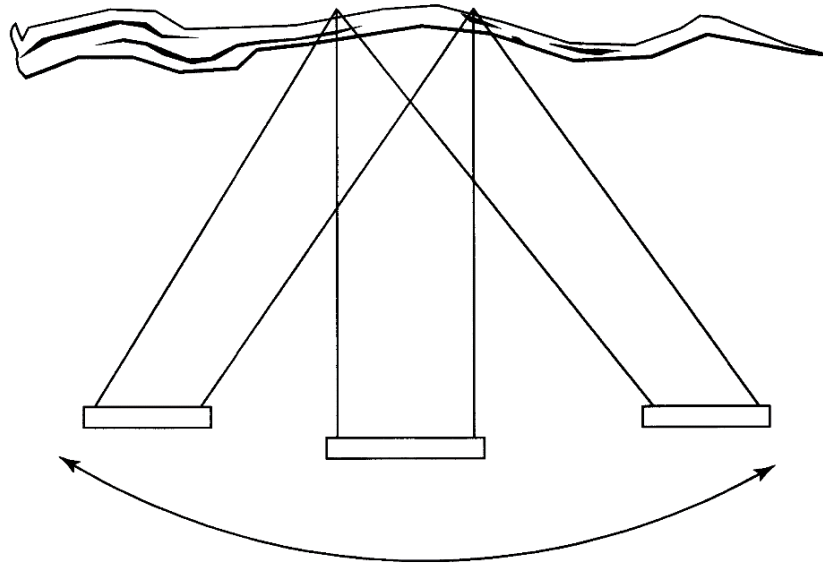


Fig. 4.1 U.S. Corporate royalties income and cross-border royalty and licensing receipts (in millions of dollars)

Sources: BEA: U.S. international services: Cross-border trade 1986–2005, royalties and license fees, Table 4. IRS: Statistics of income, “Returns of Active Corporations 1994–2004, Table 6—Balance sheet, income statement, tax, and selected other items, by major industry.”

Patent quality is a BIG concern...

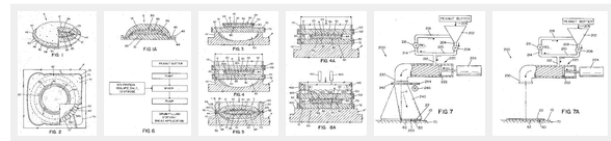


High protein peanut butter and jelly sandwich and method of making the same

Abstract

A crustless sandwich made from two slices of baked bread. The sandwich includes first and second matching crustless bread pieces. The bread pieces have the same general outer shape defined by an outer periphery with central portions surrounded by an outer peripheral area, the bread pieces being at least partially crimped together at the outer peripheral area. A central composite food layer is positioned between the central portions of the bread pieces and spaced inwardly of the crimped outer peripheral area. The composite food layer includes a first and second layer of a first food spread and a second food spread that is substantially encapsulated between the first and second layer of the first food spread. The first food spread is nutritionally enhanced.

Images (8)



Classifications

A21D13/32 Filled, to be filled or stuffed products filled or to be filled after baking, e.g. sandwiches

Description



Claims (89)

Hide Dependent ^

US20040208962A1

United States

[Download PDF](#) [Find Prior Art](#) [Similar](#)

Inventor: Duane Eberhart, Steven Larsen

Current Assignee: JM Smucker Co

Worldwide applications

2003 · [US](#)

Application US10/413,811 events

2003-04-15 • Application filed by JM Smucker Co
2003-04-15 • Priority to US10/413,811
2003-04-15 • Assigned to J.M. SMUCKER COMPANY, THE ©
2004-10-21 • Publication of US20040208962A1
Status • Abandoned

Info: [Patent citations \(48\)](#), [Cited by \(6\)](#), [Legal events](#), [Similar documents](#), [Priority and Related Applications](#)

External links: [USPTO](#), [USPTO PatentCenter](#), [USPTO Assignment](#), [Espacenet](#), [Global Dossier](#), [Discuss](#)

Patent Trolls

- **Patent trolls**, more formally known as **Non-Practicing Entities (NPEs)** or **Patent Assertion Entities (PAEs)**, are companies or individuals that purchase and hold patents, not with the intent to develop or manufacture a product or service, but to monetize them primarily through licensing fees and litigation.
- Unlike conventional companies that utilize patents to protect innovations they have developed or plan to develop, trolls do not produce any product or service. Their primary business model revolves around holding and monetizing patents.
- Patent trolls typically make their money through licensing fees or settlements. The threat of prolonged and costly litigation can pressure many businesses to settle even if they believe the patent claim is invalid.



Copyrights

- Right to exclude others from copying for a long time
 - No Quid pro quo: rights granted without a standardized disclosure mechanism
 - **The U.S. Copyright Office, a division of the Library of Congress**, is the main authority on copyrights. They handle registrations, maintain records, and provide information on U.S. copyright law.
 - Traditional justification: Protecting artistic works
 - A ban on copying precise expression
- **Duration of Protection:** Life of the author + 70 years



Trademarks

- Right to stop others from confusing your potential customers
 - More “property rights” than “intellectual”
 - **Duration of Protection:** Initial 10 years, with renewal every 10 years. Limitless duration as long as the mark is actively used in commerce.
 - Examples:
 - Word Marks: Brand names, slogans (e.g., “Nike” or “Just Do It”),
 - Design Marks: Logos, symbols (e.g., Apple’s logo)
 - Trade Dress: Packaging or product appearance (e.g., Coca-Cola’s bottle shape)

Other “less formal” IP rights

- **Trade secrets**

- A trade secret is any practice, design, formula, process, commercial method, or compilation of information that provides a business advantage over competitors who do not know or use it.
- **Duration of Protection:** Indefinite, as long as the information remains secret and continues to provide economic value.
- **Secrecy Measures:** Reasonable steps must be taken to maintain confidentiality (e.g., NDAs, restricted access).

- **Non-compete laws, Non-disclosure agreements, etc.**

- **Idea control through design**

- Creating a product with a design that resists easy disassembly can aid in safeguarding its underlying concept.



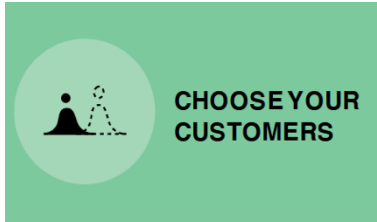
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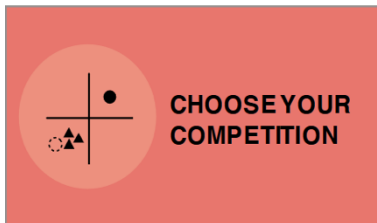
iClicker

Which of the following is your preferred method of protecting a programming code?

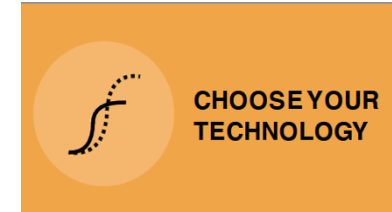
- A) Patent
- B) Copyright
- C) Trademark
- D) Trade Secret



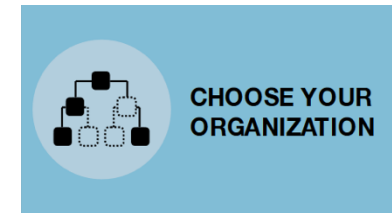
Focus on **collaborators** with
extensive commercialization
capabilities



Focus on **collaboration**
and **control**



Focus on technologies that
create new **S-curves** or are
significantly advanced along
the existing S-curve



Build an idea factory:
Be the source of new
inventions by building a
team with talent in
innovation

THANK YOU!